The main problem which needed to be solved at that time was the requirement of deducting income tax at a prescribed rate when paying dividends to shareholders. Recipients of dividends who were not liable to pay income tax had then to claim refund, a vexatious and time-consuming irritant. In the case of unit trusts, this requirement complicated the matter still further as tax would be deducted twice—first when companies paid dividend to the unit trust and a second time when the unit trust paid it to the unit holder. Since at that time there was no interest in setting up a unit trust in the public sector, the problem remained. Nor was it politic to encourage such unit trusts in the private sector by recommending such tax exemptions given the distrust of the private sector in government circles. Nehru had called stock exchanges noisy places and said that the sooner they were abolished the better. He was also against giving any tax exemptions.

One of the other important recommendations of the Committee was the idea of a Special Development Corporation to cater to the needs of the small-scale sector. It recommended setting up of a Special Development Corporation for small-scale industry which should not be owned wholly or partly by government and which would work strictly on business lines. It described how the corporation should be structured so as to be of maximum benefit to the small-scale industry—including a fifteen year interest-free loan from the government. This did not evoke much support either, since it would merely duplicate the functions of financial corporations coming up in the states. The Committee's recommendation that indigenous moneylenders be allowed access to the resources of the commercial banking system found opposition from the Rural Credit Survey, which submitted its recommendations a few months after the Shroff Committee. The *History* observes, 'More generally too, the AIRCS scheme to expand the reach of the banking system by transferring the Imperial Bank of India and the state-associated banks to public ownership superseded the Shroff Committee's more modest proposals in this respect.'[19]

In June 1954, the RBI decided to accept the Shroff Committee's recommendations to treat the shares of the IFCI and SFCs, on par with government securities for making advances to scheduled banks under the Reserve Bank of India Act. But the bank turned down the Shroff Committee's recommendation for abolishing statutory restrictions on the holdings of shares in the IFCI and the SFCs. In July 1954, the bank went